Question:

A merchant wants to make a choice of purchase between 2 purchase plans: jewelry worth $5,000 or electronic gadgets worth $8,000. His financial advisor speculates that the jewelry market will go up 2.5% while the electronic gadgets market will rise 1.2% within the same month. If the merchant is looking to maximize profit at the end of this month by making a choice, how much profit would this be?

Reasoning + Answer:

<think>
Profit from buying jewelry = 5000 * 0.025 = 125
Profit from buying electronic gadgets = 8000 * 0.012 = 96
The profit from buying jewelry is greater than the profit from buying electronic gadgets.
Therefore, the merchant should buy jewelry to maximize profit.
Profit = 125
</think><answer>
125 </answer>